BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023

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INDEPENDENT AUDITOR'S REPORT

TO / THE PARTNER
BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH - SAUDI ARABIA

Opinion :
We have audited the financial statements of Balad Now Trading Company, a single person limited liability company ("the Company"), which comprise the statement of financial position as at 31 December 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the accompanying notes from (1) to (20) including summary of the significant accounting policieswhich are considered an integral part of these financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 December 2023 and results of its operations and its cash flows for the year then ended in accordance with International Financial Reporting Standard Small and Medium-sized Entities ("IFRS for SMEs") that is endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed and issued by the Saudi Organization for Chartered and Professional Accountants.

Basis of Opinion :
We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the financial statements section of our report. We are independent of the Company in accordance with the professional code of conduct and ethics that are endorsed in the Kingdom of Saudi Arabia that are relevant to our audit of the financial statements and we have fulfilled our ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management for the financial statements:
Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) that is endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued bythe Saudi Organization for Chartered and Professional Accountants (SOCPA), the Regulations for Companies and the Company's articles of association and for such internal control as management determines is necessary to enable the preparation of financial statements that are free of material misstatements, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The management is responsible for overseeing the financial reporting process in the Company.

(CONTINUED) INDEPENDENT AUDITOR'S REPORT - BALAD NOW TRADING COMPANY

Auditor's Responsibilities for the Audit of the financial statements :

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, these could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal controls .

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company .

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management of the Company.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

-Evaluate the overall presentation, the structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation of the financial statements.

We communicate with the management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal controls that we identify during our audit.

Date : 24 Dhu al-Hijjah 1445H
30 June 2024

Abdullah Omar Bakodah & Company
Certified Public Accountants

(Ali Ahmed Bakhathlaqi - License No. 714)

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023
(IN SAUDI RIYAL)

Assets	**Note**	**31 December 2023**	**31 December 2022**
Current assets :			
Bank balances		**3,951,462**	1,684,726
Trade receivables	5	**25,546,578**	4,893,766
Prepaid expenses and other debit balances	6	**443,646**	502,776
Total current assets		**29,941,686**	7,081,268
Non-current assets :			
Plant, property and equipment	7	**129,250**	72,430
Total non-current assets		**129,250**	72,430
Total assets		**30,070,936**	7,153,698
LIABILITIES AND EQUITY			
Current liabilities :			
Amounts due to related parties	8	**25,957,322**	6,758,809
Short-term borrowings	9	**205,406**	0
Accrued expenses and other credit balances	10	**540,657**	76,774
Provision for Zakat	11	**39,481**	17,142
Total current liabilities		**26,742,866**	6,852,725
Non-current liabilities :			
Long-term borrowings	9	**2,000,000**	0
End of service indemnity provision	12	**33,407**	0
Total non-current liabilities		**2,033,407**	0
Total liabilities		**28,776,273**	6,852,725
Equity :			
Capital	13	**25,000**	25,000
Statutory reserve		**7,500**	7,500
Retained earnings		**1,262,163**	268,473
Total Equity		**1,294,663**	300,973
TOTAL LIABILITIES AND EQUITY		**30,070,936**	7,153,698

The accompanying notes from 1 to 20 form an integral part of these financial statements.

BALAD NOW TRADING COMPANY

(SINGLE PERSON LIMITED LIABILITY COMPANY)

RIYADH – KINGDOM OF SAUDI ARABIA

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023

(IN SAUDI RIYAL)

	Note	31 December 2023	For the fiscal period from 17 March 2022 to 31 December 2022
Revenue		**57,322,742**	12,745,460
Cost of revenue	14	**(54,141,087)**	(11,937,194)
Gross profit		**3,181,655**	808,266
General and administrative expenses	15	**(2,228,255)**	(665,471)
Net operating profit		**953,400**	142,795
Other revenues and gains		**395,217**	150,320
Finance expenses		**(315,446)**	0
Profit for the year / period before Zakat		**1,033,171**	293,115
Zakat	11	**(39,481)**	(17,142)
Net adjusted profit for the year/period		**993,690**	275,973
Other comprehensive income items			
Items will not be reclassified to profit or loss			
Total other comprehensive income		**0**	0
Net comprehensive income the year / period		**993,690**	275,973

The accompanying notes from 1 to 20 form an integral part of these financial statements.

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
STATEMENT OF CHANGES IN EQUITY
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023
(IN SAUDI RIYAL)

	Capital	Statutory reserve	Retained earnings	Total Equity
Capital formation	25,000	0	0	25,000
Net profit for the period	0	0	275,973	275,973
Making a statutory reserve	0	7,500	(7,500)	0
Balance at 31 December 2022	25,000	7,500	268,473	300,973
Balance at 1 January 2023	25,000	7,500	268,473	300,973
Net profit for the year	0	0	993,690	993,690
Balance at 31 December 2023	25,000	7,500	1,262,163	1,294,663

The accompanying notes from 1 to 20 form an integral part of these financial statements.

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
STATEMENT OF CASH FLOWS
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023
(IN SAUDI RIYAL)

	Note	31 December 2023	For the fiscal period from 17 March 2022 to 31 December 2022
Cash flows from operating activities:			
Profit for the year / period before Zakat		**1,033,171**	293,115
Adjustments :			
Depreciation of property, plant and equipment	7	**52,413**	3,215
End of service indemnity provision made	12	**33,407**	0
Impairment of trade receivables	5	**203,000**	0
		1,321,991	296,330
The changes in operating assets and liabilities:			
Trade receivables		**(20,855,812)**	(4,893,766)
Prepaid expenses and other debit balances		**59,130**	(502,776)
Accrued expenses and other credit balances		**463,883**	76,774
Zakat paid	11	**(17,142)**	0
Net cash flows (used in) operating activities		**(19,027,950)**	(5,023,438)
Cash flows from investing activities :			
Additions to property, plant and equipment	7	**(109,233)**	(75,645)
Net cash flows (used in) investing activities		**(109,233)**	(75,645)
Cash flows from financing activities			
Capital formation	13	**0**	25,000
Borrowings, net	9	**2,205,406**	0
Amounts due to related parties		**19,198,513**	6,758,809
Net cash flows from financing activities		**21,403,919**	6,783,809
Net change in bank balances during the year / period		**2,266,736**	1,684,726
Bank balances at beginning of the year / period		**1,684,726**	0
Bank balances at end of the year / period		**3,951,462**	1,684,726

The accompanying notes from 1 to 20 form an integral part of these financial statements.

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH - SAUDI ARABIA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023
(IN SAUDI RIYAL)

1- Organization and activities

Balad Now Trading Company ("the Company") is a single person limited liability company registered in Riyadh, Kingdom of Saudi Arabia on 19-08-1443H, (17/03/2022) under commercial registration number 1010789357.

The activities of the Company are wholesale sale of water tanks, including (fiberglass tanks and accessories), wires, switches and connection equipment, metal and iron slides, withdrawals and blocks, wood of all kinds. Wholesale of tools for iron and locks, cement, plaster and similar items, and and gravel of all kinds, bricks, tiles, stone, marble, ceramics and porcelain, sanitary tools and extensions, heaters and water tanks, hand tools such as screwdrivers, saws, hammers, etc, waste, scrap and recycling materials, including (collection, classification, detailing, stripping, storage, delivery and delivery), retail sale of dyes, paints, varnishes, and adhesives Retail sale of sanitary ware and extensions such as washbasins, chairs, bathtubs, etc. sauna equipment Retail sale of electrical tools and extensions Retail sale of building materials, including cement, blocks, gypsum, cement tiles, etc. Retail sale of metal and iron pipes.
The financial statements cover the year from 1 January 2023 to 31 December 2023.

The financial statements of Balad Now Trading Company were approved by the Partner on 30 June 2024.

2- Basis of preparation

2-1 Statement of compliance

These financial statements have been prepared in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities that is endorsed in the Kingdom of Saudi Arabia and other relevant pronouncements endorsed by the Saudi Organization for Chartered and Professional Accountants (SOCPA) (collectively referred to as "IFRS as endorsed in Saudi Arabia").

2-2 Judgments and Estimates

The preparation of the financial statements in accordance with the IFRS for SMEs requires the use of some critical accounting estimates. The management is also required to exercise accounting judgments in applying the Company's accounting policies. This is disclosed in note (4).

2-3 Basis of measurement

These financial statements were prepared under the historical cost convention, accrual basis of accounting and going concern basis.

2-4 Functional and presentation currency

Saudi riyal is the functional and presentation currency of the Company. Amounts are rounded to the nearest riyal, unless otherwise stated.

3- SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Below are significant accounting policies used in preparing these financial statements:

3-1 Cash and cash equivalents

Cash and cash equivalents consist of cash on hand and at banks and time deposits with maturities of three months or less from the date of acquisition and are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3-2 Trade receivables and other debit balances

Most sales are on regular credit periods and receivables are not subject to any commission. For goods sold to a customer on short-term credit, trade receivables are recognized based on the undiscounted cash amount of financial liabilities due from that entity which is normally the invoice amount. For the item sold to a credit-free customer. At end of each reporting period, the carrying amount of trade and other receivables is reviewed to determine whether there is an objective evidence that of uncollectability. If such evidence exists, impairment loss is recognized in the profit or loss directly in the statement of profit or loss and other comprehensive income.

3-3 Financial Instruments

Financial instruments are initially recognized at the transaction price (including transaction cost except in the initial measurement of financial assets and liabilities that are subsequently measured at measured at fair value through profit or loss). If the arrangement constitutes a financing transaction, the entity shall measure the financial asset or financial liability at the present value of the future payments discounted at market rate of interest for a similar debt instrument.

After initial recognition, the Company measures financial instruments at amortized cost using effective interest method, cost less impairment or fair value through the statement of profit or loss, according to the initial classification of the financial asset. Differences from measurement of financial instruments are recognized when preparing the financial statements through the statement of profit or loss, as well as upon de-recognition of the financial instrument.

3-4 *Current versus non-current classification*

The Company presents assets and liabilities in the statement of financial position based on current/non-current classification. An asset as current when it is:

- expected to be realized or intended to sold or consumed in normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period; or
- cash or cash equivalent, unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as “non-current”.
A liability is current when:

- it is expected to be settled in normal operating cycle
- held primarily for the purpose of trading;
- it is due to be settled within twelve months after the reporting period; or
- there is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting period.

All other liabilities are classified by the Company as “non-current”.

3-5 Financial assets and financial liabilities

The financial assets carried on the statement of financial position include cash at bank, trade and other receivables, derivative financial instruments. Financial liabilities include trade payables, accrued expenses, other payables and funding from the partner.

At each reporting period, the Company reviews the carrying amounts of its assets to determine whether there is any indication that an asset have suffered an impairment loss. If any indication exists, impairment loss is recognized in the profit or loss in the statement of profit or loss and other comprehensive income.

For a financial asset measured at cost less impairment, the impairment loss is the difference between the asset's carrying amount and the best estimate (which will necessarily be an approximation) of the amount (which might be zero) that the entity would receive for the asset if it were to be sold at the date of financial statements.

3-6 Impairment of Non-Financial Assets

At each statement of financial position date, the Company reviews the carrying amounts of its property, plant and equipment to determine whether there is any indication that those assets have suffered an impairment loss. If there is evidence of a possible impairment, the recoverable amount of the affected asset (or cash-generating unit) is estimated and compared to its carrying amount. If the recoverable amount is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. Impairment losses are recognized immediately in the statement of profit or loss and other comprehensive income.

At each of reporting date, goods, if any, are tested for impairment by comparing its carrying amount if each item of goods (or a group of similar items) with its selling price less costs of sale. If there is an indication that an item of goods (or a group of similar items) is impaired, its carrying amount is reduced to the selling price less costs of sale. Impairment losses are recognized immediately in the statement of profit or loss and other comprehensive income.

3-7 Trade payables and other credit balances

Liabilities are recognized for amounts to be paid in the future for goods or service received, whether billed or not by suppliers.

3-8 Provisions

The Company should recognize provisions when:

- the Company has a present obligation (legal or constructive) as a result of a past event.
- It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.
- When the amount is estimated reliably.

Where the effect of the time value of money is material, provisions are discounted using a pre-tax and zakat rate that reflects current market assessments of the time value of money and the risks specific to the obligation. When the discount is used, the increase in the provision with the passage of time is recognized as part of the finance costs in the statement of profit or loss and other comprehensive income.

3-9 Zakat

The Company is subject to the regulations of the Zakat, Tax and Customs Authority in the Kingdom of Saudi Arabia. Zakat is provided on an accruals basis. Zakat charge is computed on Zakat base. Any difference in the estimate is recorded when the final assessment is approved, at which time the provision is cleared.

3-10 Statutory reserve

In accordance with the Regulations for Companies in Kingdom of Saudi Arabia, the Company has to establish a statutory reserve by the appropriation of 10% of net income until the reserve equals 30% of the share capital.

3-11 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable taking into account the amount of any discounts allowed by the Company.

The Company recognizes revenue when all the following conditions have been satisfied:

The amount of revenue can be measured reliably;

It is probable that future economic benefits will flow to the company;

The costs incurred in the transaction can be measured reliably.

When works are performed by an indeterminate number of acts over a specified period of time, the Company recognise revenue on a straight-line basis over the specified period.

If the outcome cannot be estimated reliably, revenue is recognised only to the extent of recoverable contract costs incurred.

Revenue includes only the gross inflows of economic benefits received or receivable by the Company on its own account. All amounts collected on behalf of a third party account such as income taxes and value added taxes are excluded.

3-12 Leases

A lease is classified as a finance lease if it transfers all the risks and rewards associated with ownership of the leased asset to the Company. All other leases are classified as operating leases. Rental payable under operating leases are charged to the statement of profit or loss on a straight line basis over the term of the operating lease.

3-13 Expenses

Expenses of the Company consist of general expenses and administrative expenses. The cost of revenue is charged with the full cost of direct labor and indirect costs. Other direct and indirect expenses related to management but not related to operation function are classified as general and administrative expenses. Under the accrual basis of accounting, expenses are recorded in the fiscal year under general and administrative expenses.

4- Significant accounting estimates, assumptions and judgements

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses, disclosure of contingent liabilities at the date of the financial statements**.** Uncertainty related to such estimates and assumptions may require material adjustments on the fair value of assets and liabilities which might be affected in the future.

The estimates and associated assumptions are based on historical experience and other factors that are considered to be reasonable in circumstances. The Company is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised or in the period of the revision and future periods if the revision affects both current and future periods.

Going concern

The Company has no doubts about its ability to continue as a going concern. Accordingly, the financial statements have been prepared on the basis of going concern.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Impairment of Non-Financial Assets

Impairment exists when the carrying value of an asset or CGU exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length for similar assets or observable market prices less incremental costs for disposing of the asset. The recoverable amount is most sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Impairment of trade receivables

An estimate of the collectible amount of trade accounts receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimation is made on an individual basis. Amounts which are not individually significant, which are past due, are assessed collectively and an allowance applied according to the length of time past due.

Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be measured based on quoted prices in active markets, their fair value is determined using valuation techniques including the Discounted Cash Flow (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions relating to these factors could affect the reported fair value of financial instruments.

BALAD NOW TRADING COMPANY
(SINGLE PERSON LIMITED LIABILITY COMPANY)
RIYADH – KINGDOM OF SAUDI ARABIA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED 31 DECEMBER 2023
(IN SAUDI RIYAL)

NOTE 5) Trade receivables

	31 December 2023	31 December 2022
Trade receivables	**25,749,578**	4,893,766
provision for impairment of trade receivables	**(203,000)**	0
	25,546,578	4,893,766

The movement in provision for impairment of trade receivables is as follows:

	31 December 2023	31 December 2022
Charged for the year	**203,000**	0
Balance at 31 December	**203,000**	0

NOTE 6) Prepaid expenses and other debit balances

	31 December 2023	31 December 2022
Suppliers - advance payments *	**200,320**	459,062
Employees receivables	**57,592**	0
Prepaid expenses	**71,234**	42,214
Refundable cash guarantees	**113,000**	0
Deposit with others	**1,500**	1,500
	443,646	502,776

* Suppliers balance - advance payments, balance due from Balad Now Inc. (a related party).

NOTE 7) Property, plant and equipment

Cost:	Motor vehicles	Furniture	Office equipment	Total 31 December 2023	Total 31 December 2022
Cost at beginning of the year :	52,522	0	23,123	**75,645**	0
Additions during the year / period	0	44,483	64,750	**109,233**	75,645
Cost at end of the year / period:	52,522	44,483	87,873	**184,878**	75,645
Deprecation:					
Total depreciation at the beginning of the y	875	0	2,340	**3,215**	0
Depreciation for the year / period	10,504	8,620	33,289	**52,413**	3,215
Total depreciation at the end of the year / p	11,379	8,620	35,629	**55,628**	3,215
Net carrying amount at 31 December	41,143	35,863	52,244	**129,250**	72,430

NOTE 8) Amounts due to related parties

Amounts due from related parties represent financial support provided by related parties or providing support to those parties using arm's length price.

At the end of the year/ period, the following credit balances resulted from transactions with related parties:

	Type	31 December 2023	31 December 2022
Hisham Abdullah Othman Al-Saleh	Partner	**8,845,904**	6,758,809
Balad Now Inc.	Associate	**17,111,418**	0
		25,957,322	6,758,809

Below are the significant transactions with related parties for the year / period ended December 31:

		Transaction amount	
Related party	**Nature of transactio**	**2023**	**2022**
Hisham Abdullah Othman Al-Saleh	Financing	**6,411,946**	6,500,000
Balad Now Inc.	Financing	**13,623,998**	0

NOTE 9) Borrowings

	31 December 2023	31 December 2022
Al-Raed Finance Company	**2,205,406**	0
	2,205,406	0

	31 December 2023	31 December 2022
Short-term borrowings **	**205,406**	0
Long-term borrowings *	**2,000,000**	0
Total borrowings	**2,205,406**	0

* In accordance with the loan agreement concluded with Al-Raed Finance Company on 31 January 2023, the Company received a long-term loan of SR 2,000,000 to be paid in one installment by the end of the period on 10 June 2026.

** In accordance with the loan agreement concluded with Al-Raed Finance Company on 31 January 2023, the company obtained a short-term loan of SR 1,129,983. This loan is to be repaid in installments plus margin, with the final installment due on 7 February 2024.

NOTE 10) Accrued expenses and other credit balances

	31 December 2023	31 December 2022
Value added tax	**337,980**	49,806
Accrued expenses	**9,733**	26,968
Other payables*	**158,988**	0
Interest receivable	**33,956**	0
	540,657	76,774

** A balance is due to the Infrastructure Development Company for Financial Technology for granting facilities to one of the Company's clients. This is in accordance with the facilities agreement concluded between the Development Fund for Finance, the client (Samtel General Trading and Contracting Company), and the Company. The profit from the deferred sale shall be shared between the Development Fund for Finance and the Company according to the percentages mentioned in the agreement.

NOTE 11) Zakat

11-1 Zakat charged during the year / period is as follows:

	31 December 2023	31 December 2022
Charged for the year / period	**39,481**	17,142
	39,481	17,142

11-2 The major components of Zakat base are as follows:

	31 December 2023	31 December 2022
Positive Zakat base	**430,223**	97,430
Negative Zakat base	**129,250**	(72,430)
Adjusted income	**1,579,126**	665,179

11-3 The movement in Zakat provision during the year / period is as follows:

	31 December 2023	31 December 2022
Balance at beginning of the year / period	**17,142**	0
Provided during the year / period	**39,481**	17,142
Paid during the year / period	**(17,142)**	0
Balance at 31 December	**39,481**	17,142

11-4 Status of Zakat certificates and assessments :

- The Company submitted its Zakat declarations up to 2023 and obtained a certificate from the Zakat, Tax, and Customs Authority valid until 30 April 2025. It is noted that there are no Zakat assessments due on the Company as of the date of issuance of the financial statements.

NOTE 12) End of service indemnity provision

	31 December 2023	31 December 2022
Provided during the year	**33,407**	0
Balance at 31 December	**33,407**	0

NOTE 13) Capital

As at 31 December 2023, the capital of the Company is SR 25,000 which is owned by the partner and distributed as follows:

Partner name	Nationality	Number of shares	Value of shares	Total
Hisham Abdullah Othman Al-Saleh	Saudi	250	**100**	25,000
Total		250		25,000

NOTE 14) Cost of revenue

	31 December 2023	For the fiscal period from 17 March 2022 to 31 December 2022
Purchases during the year / period	**54,141,087**	11,937,194
Total	**54,141,087**	11,937,194

NOTE 15) GENERAL AND ADMINISTRATIVE EXPENSES

	Note	31 December 2023	For the fiscal period from 17 March 2022 to 31 December 2022
Salaries, wages and related expenses		**895,363**	35,791
Bonuses and incentives		**0**	372,064
Consulting and professional fees		**438,345**	156,303
Leases		**66,108**	21,199
Subscriptions and government fees		**132,734**	40,261
Social insurance (GOSI)		**69,221**	0
Medical insurance		**29,512**	0
Bad debts		**203,000**	0
Office expenses		**35,429**	16,804
End of service indemnity	12	**33,407**	0
Travel and transportation		**83,379**	0
Maintenance and repair		**9,500**	0
Advertising		**47,079**	0
Commissions		**58,017**	0
Phone, post and fax		**22,602**	0
Depreciation of property, plant and equipment	7	**52,413**	3,215
Banking expenses		**6,710**	0
Other expenses		**45,436**	19,834
Total		**2,228,255**	665,471

NOTE 16) Contingent liabilities and capital commitments

- The Company does not have any contingent liabilities as of the date of the financial statements as at 31 December 2023.
- As at the date of the financial statements at 31 December 2023, the Company does not have any capital commitments.

NOTE 17) Subsequent events

The management believes that no significant subsequent events have occurred from the date of the financial statements for the year ended 31 December 2023 until the date of issuance of the financial statements that would have a material impact on these financial statements.

NOTE 18) Financial instruments and risk management

Financial instruments in the statement of financial position comprise of: cash and cash equivalent, accounts receivable, accounts payable, due to related parties and other liabilities.

18-1 Credit risks

Credit risk is the risk that one party may fail to discharge an obligation and will cause the other party to incur a financial loss. The Entity is not highly exposed to credit risks as cash is placed with local banks with high credit rating. Trade and other receivables are due from current customers and related parties and are stated at their net realizable value.

18- 2 Currency risks

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Entity primarily deals in Saudi Riyals and US Dollars. Foreign currency transactions other than the US dollar are immaterial. Currency risk is monitored on a regular basis. The Entity believes that it is not significantly exposed to currency risk as the Saudi Riyal is pegged to the US Dollar.

18- 3 Liquidity risk

Liquidity risk is the risk that the Entity will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from the inability to sell a financial asset quickly at an amount close to its fair value. The Entity manages liquidity risk by monitoring on a regular basis that sufficient funds are made available to meet any future commitments, availability of credit facilities and support from partners.

18-4 Interest rate risk

Interest rate risk is exposure to various risks associated with fluctuations in the prevailing interest rates which may affect the Entity's financial position and cash flows. Management monitors changes in interest rates and believes that fair value and interest rate risk to the Entity's cash flow are not

NOTE 19) Fair value

Fair value is the amount for which an asset could be exchanged, or a liability settled between knowledgeable willing parties in an arm's length transaction. Differences can arise between the book values and fair value estimates of the Entity’s assets and liabilities.

NOTE 20) General

- The figures in the accompanying financial statements are rounded to the nearest Saudi Riyal.
- Certain comparative figures have been reclassified to conform to the current year presentation.